



Message from the CSO | Roundtable Discussion among Outside Officers | Dialogues with Shareholders and Investors | **Corporate Governance** | Risk Management and Compliance | Message from the CFO | Capital Strategies
Environmental Initiatives (Disclosure Based on TCFD Recommendations) | Human Resource Development | Diversity, Equity, and Inclusion | Health and Safety and Social Contribution Activities | Respect for Human Rights
Value Chain Collaboration | Vehicle Safety | Quality and Information Security | Intellectual Property and Privacy

Corporate Governance

Members of the Board of Directors and Audit & Supervisory Board Members

Board of Directors and Related Structures

Members of the Board of Directors are selected based on comprehensive consideration of their responsibilities to ensure sustainable growth of Toyota and to enhance its corporate value over the medium to long term.

Toyota believes that it is critical to appoint individuals who are capable of practicing product-centered and region-centered management and contributing to decision-making aimed at sustainable growth in accordance with the Toyota Principles, which describe the Company's founding philosophy. Moreover, these individuals should be able to play significant roles in transforming Toyota into a mobility company in the areas of electrification, intelligence, diversification, and the formation of partnerships. They must also possess the ability to contribute to the resolution of social issues, such as those pertaining to climate change.

In order to make important business decisions and supervise management appropriately, the Board of Directors should consist of diverse members with a balance of abilities. The knowledge, experience, and abilities of members of the Board of Directors are consolidated and disclosed in a skills matrix.

The Executive Appointment Meeting, which comprises a majority of outside members of the Board of Directors, makes recommendations to the Board of Directors regarding individual candidates for positions as members of the Board of Directors.

Furthermore, four outside members of the Board of Directors have been appointed in order to adequately reflect the opinions of outside stakeholders in the management decision-making process. All of the outside members of the Board of Directors have been registered as independent directors with the relevant financial instrument exchanges.

In the appointment of outside members of the Board of Directors designated as independent directors, the Company considers both the requirements for outside directors stipulated in the Companies Act of Japan and the independence standards put forth by the relevant financial instrument exchanges.

Outside members of the Board of Directors provide advice in Toyota's management decision-making process from a standpoint independent of operational execution based on their broad experience and insight.

The following measures are implemented to better incorporate the insight of outside members of the Board of Directors and outside Audit & Supervisory Board members.

1. Review of the criteria for the submission of proposals to the Board of Directors as needed to regulate the inflow of proposals submitted in order to secure sufficient time to discuss each proposal

2. Provision of explanations of proposals in advance to facilitate better understanding of their background

3. Provision of regular opportunities, outside Board of Directors' meetings, for two-way communication between members of the executive team with outside members of the Board of Directors and outside Audit & Supervisory Board members on important management issues and medium- to long-term issues

To facilitate active discussions at Board of Directors' meetings, Toyota reduced the number of meeting participants (members of the Board of Directors and Audit & Supervisory Board members) from 34 in 2010 to 15 in 2020. As a result, opportunities for each participant to speak at Board of Directors' meetings have increased, and outside members of the Board of Directors and outside Audit & Supervisory Board members are able to voice opinions on almost all proposals.

Members of the Board of Directors (As of June 2024)

Name	Sex	Age	Years of Service	Outside/Independent	Current Position / Responsibility at Toyota			Rate of Attendance at Board of Directors' Meetings (Number of Meetings Attended*)
					Committee Membership		Responsibility	
					Executive Appointment Meeting	Executive Compensation Meeting		
Akio Toyoda	Male	68	24				Chairman of the Board of Directors	94% (15/16)
Shigeru Hayakawa	Male	70	9		Chairperson	Chairperson	Chief Privacy Officer	100% (16/16)
Koji Sato	Male	54	1				Chief Executive Officer	100% (13/13)
Hiroki Nakajima	Male	62	1				Chief Technology Officer	100% (13/13)
Yoichi Miyazaki	Male	60	1		Member	Member	Chief Financial Officer Chief Competitive Officer	100% (13/13)
Simon Humphries	Male	57	1				Chief Branding Officer	100% (13/13)
Ikuro Sugawara	Male	67	6	Outside, independent	Member	Member		100% (16/16)
Sir Philip Craven	Male	73	6	Outside, independent	Member	Member		94% (15/16)
Masahiko Oshima	Male	63	1	Outside, independent	Member	Member		100% (13/13)
Emi Osono	Female	58	1	Outside, independent	Member	Member		100% (13/13)

* Figures represent attendance at Board of Directors' meetings in fiscal 2024.

Analysis and Evaluation of the Effectiveness of the Board of Directors

In order to improve the effectiveness of the Board of Directors, Toyota conducts an analysis and evaluation of the Board of Directors every year. Details of the most recent analysis and evaluation are as follows.

1. Analysis and Evaluation

A survey assessing the membership, meeting proceedings, and supervisory function efficacy of the Board of Directors was carried out. Views and proposals regarding the background and causes of issues identified by the survey, as well as regarding the improvement of such issues, were compiled and reported to the Board of Directors and then discussed at a meeting of the Board of Directors.

- **Method of evaluation:** Self-evaluation through questionnaires
- **Subject of evaluation:** Members of the Board of Directors and Audit & Supervisory Board members
- **Implementation period:** March–April 2024
- **Matters to be evaluated:** 1. Membership and meeting proceedings of the Board of Directors
2. Management and business strategies
3. Corporate ethics and risk management
4. Communication with shareholders and other stakeholders

2. Summary of Findings

In fiscal 2024, a new management team was instituted with the addition of a number of new outside members of the Board of Directors and outside Audit & Supervisory Board members. To invigorate discussions at Board of Directors' meetings, the Company has been offering more opportunities for communication between members of the executive team and outside members of the Board of Directors and outside Audit & Supervisory Board members, providing outside members of the Board of Directors and outside Audit & Supervisory Board members with on-site tours of facilities and information, and enhancing advance explanations of Board of Directors' meeting proposals.

Against this backdrop, it was determined that improvements had been achieved with regard to advance explanations and provision of information to outside members of the Board of Directors and outside Audit & Supervisory Board members. Conversely, time allocation, consideration of business strategies, and management with an awareness of sustainability, areas that were identified as issues in fiscal 2023, were once again identified as representing issues in fiscal 2024.

In order to further improve the effectiveness of the Board of Directors, Toyota will secure more opportunities for the Board of Directors to discuss important management strategy topics and promote the appropriate selection of topics to be proposed. At the same time, Toyota will work to make further improvements through such measures as enhancing opportunities for dialogue and exchange with the executive team to provide more information to outside members of the Board of Directors and outside Audit & Supervisory Board members, thereby facilitating more effective and vigorous discussions.

Audit & Supervisory Board System

Toyota has adopted the board of corporate auditors system. The six Audit & Supervisory Board members, including three outside Audit & Supervisory Board members, play a key role in Toyota's corporate governance by undertaking audits in line with the audit policies and plans determined by the Audit & Supervisory Board.

In order to appropriately audit Toyota as it transforms into a mobility company with the aim of sustainable global growth, the Audit & Supervisory Board is composed of full-time Audit & Supervisory Board members, all of whom possess deep knowledge of internal Company matters, and outside Audit & Supervisory Board members, all of whom have a high level of expertise and knowledge. Toyota takes steps to ensure that each Audit & Supervisory Board member is able to exert audit authority independently.

In appointing Audit & Supervisory Board members, Toyota believes it is necessary to select individuals who have broad experience and insight in their respective fields of expertise and who can advise management from a fair and impartial perspective and are capable of auditing operational execution. Toyota's Executive Appointment Meeting discusses recommendations to the Audit & Supervisory Board regarding the appointment or dismissal of Audit & Supervisory Board members.

Toyota has appointed three outside Audit & Supervisory Board members, all of whom are registered as independent auditors with the relevant financial instrument exchanges.

When appointing outside Audit & Supervisory Board members, Toyota considers the requirements set out in the Companies Act of Japan as well as the independence standards established by the relevant financial instrument exchanges.